



Government

Response to the National Infrastructure Plan 2026

June 2026

New Zealand Government
Te Kāwanatanga o Aotearoa

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Cover photo: iStock, Lakeview_Images – Builders construct a concrete bridge over a small river in Westland, New Zealand

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Ministerial Foreword

Hon Chris Bishop **Minister for Infrastructure**



It is a privilege to lead the Government's Response to the National Infrastructure Plan 2026.

I'd like to thank Raveen Jaduram (Board Chair), Geoff Cooper (Chief Executive) and the Commission for their hard work to develop the Plan. It has been a significant effort that has been received well across government, the sector, and the public.

It is worth noting that this is not New Zealand's first infrastructure plan. It isn't even our second or third. We have been here before in 2010, 2011, and again in 2015. Some recommendations in those earlier plans are identical to those put forward in the 2026 Plan – over a decade later.

This is concerning given the significant challenges facing New Zealand's infrastructure system. These include internal issues – poor value for money, inadequate asset management practices, and weak project assurance – as well as external pressures such as an aging population, a significant maintenance and renewals backlog, and the increasing frequency and intensity of hazard events and global shocks.

What differentiates this Plan from its predecessors is that it was independently produced by the Infrastructure Commission, separate from the government of the day.

It's not this Government's Plan – it's New Zealand's Plan.

This distinction is critical. A Plan delivered by independent experts can, and should, endure through political cycles. I've often said that we should move past the rhetoric of needing a "bipartisan pipeline" and instead build bipartisan consensus on the idea that governments of all flavours should use best practice to plan, select, fund, finance, deliver, and look after infrastructure.

I am grateful to have forewords and comments from opposition parties reflected in the Government Response document. That is the kind of mature approach to infrastructure that New Zealand needs and deserves.

New Zealand now has a clear plan. The next step is action.

I am a firm believer that having a plan on its own is not enough. What matters is execution. The Infrastructure Commission has done its job. Now the responsibility falls to governments – this one and those that follow – to act.

The Government is not kicking the can down the proverbial road on the Commission's recommendations.

The Government has “Supported” or “Supported In-Principle” all 16 recommendations put forward in the Plan. It is also encouraging that the Commission’s *Top 10 Priorities for the Decade Ahead* reflects work already underway by the Government.

I am committed to strengthening asset management, improving assurance, upzoning around key transport corridors, landing a durable planning system, and progressing other reforms that enable a better infrastructure system. The Government will continue to engage constructively across the sector and across Parliament as we work to implement this response.

The Plan, and the Government’s Response are central to our ambition of lifting economic growth and productivity, which will improve living standards and drive greater prosperity for all New Zealanders.

Now it is up to all of us to do the hard work required to turn ambition into delivery.

A handwritten signature in blue ink, appearing to read 'Chris Bishop'.

Hon Chris Bishop
Minister for Infrastructure

Labour Party Response

Hon Kieran McAnulty **Labour Party Spokesperson for Infrastructure**



New Zealanders don't ask for much from the infrastructure that shapes their lives. They ask that the road gets built. That the pipes work. That hospitals and schools are there when families need them. And they ask that we get on with it.

For too long, we haven't. Governments – both Labour and National-led - have announced projects without funding them, watched costs balloon, and scrapped what the other side started. Every time the plan changes, we lose time, we lose money, and we lose the skilled people who build these things, too many of them to Australia.

That is the problem this plan sets out to fix, and it is why Labour offered to contribute to this Response. The National Infrastructure Plan, developed independently by Te Waihangā – New Zealand Infrastructure Commission, offers something this country sorely needs: a long-term, evidence-based path that doesn't belong to any one government. We think that path is broadly the right one.

We support its focus on looking after what we already own, on planning and funding over longer horizons, and on the independent assurance that stops good projects being torn up for the wrong reasons. We won't pretend we agree on every minor detail. There will be matters we keep discussing, and some a future Labour government may approach slightly differently.

But none of them is a reason to withhold support for the direction of travel. The prize here is bigger than any single policy. This is a framework durable enough to survive changes of government, so the sector can plan, invest, train and hire with confidence.

Labour has worked to demonstrate that commitment throughout this term, and not just in words. We told investors plainly that a change of government will not put their projects at risk. Aside from the LNG terminal, for which we share the Commission's reservations, our commitment is that we will honour what is contracted, underway and already funded. We have worked constructively with the government where it counts, because the people who rely on this infrastructure care a great deal about whether it gets built, and not at all about who gets the credit.

That is the spirit in which we offer our support for this plan. By meeting in the middle, we can finally end the stop-start cycle that has cost New Zealand so much.

We can't build a country that serves future New Zealanders if the plan changes every time a government does.

Green Party Response

Hon Julie Anne Genter Green Party Spokesperson for Infrastructure



We support the 16 recommendations of the National Infrastructure Plan (NIP) in full.

Long-term investment in our infrastructure must enable Aotearoa to decarbonise rapidly and adapt to increased severe weather events. Climate change cannot be treated as political football. It is a reality that is already impacting existing infrastructure, and will shape our near and long-term energy, transport and water infrastructure needs.

We welcome the Coalition Government's support for the recommendations and priorities outlined in the NIP. However, we must note some specific concerns around the extent to which their response will give effect to the recommendations.

Priority 4: Prioritise and sequence major land transport projects

The Green Party strongly supports this recommendation. We remain concerned the Government in its response is referring to the Government Policy Statement (GPS) on Land Transport as guiding new capital investment.

The GPS on Land Transport 2024-2027 sets out levels of funding for different types of projects and sets aside significantly more funding for new capital expenditure for state highways than any other type of activity, including renewals and maintenance. This is at odds with recommendations 1, 2, 7 and 13.

The GPS also allows specified projects to circumvent the investment assurance process because they are simply deemed strategic priorities. We hold that all new major land transport projects (over \$500m) go through the IPP process or similar investment assurance process.

In keeping with priority three, all new land transport investment business cases should use time-of-use charging and fleetwide road pricing as a base case.

The Government response notes that they are spending a larger portion of rail spending on asset maintenance and renewals. We would like to see a commitment to doing the same with road funding.

Recommendation 11: Stable resource management framework

The replacement bills for the Resource Management Act are currently before the Environment Select Committee, and it is not clear this legislation will be improved to a point where they will provide the enduring and stable alternative that Aotearoa needs. We agree that a stable resource management framework is required. Noting the broad concerns raised so far at the select committee with the legislation progressing currently, it may be preferable to return to some aspects of the NBEA and Spatial Planning Act that had a far more robust and considered development process, and substantively, left less to Ministerial discretion.

Recommendation 14: Accelerated Electricity Investment

The Green Party would like to see a National Electrification Strategy to secure a zero carbon and affordable energy future. We strongly disagree with the Government's commitment to an LNG terminal.

Recommendation 15 – Coordinated workforce development

We urge the Government to go further than supporting this in principle. Infrastructure planning must be linked to workforce planning.

Overall the Green Party welcomes the intention of the Government in its response to the National Infrastructure Plan and urges that this commitment to long-term planning and evidence –informed decision making continues to drive investment in the long-lived assets that contribute to New Zealand's prosperity, sustainability and resilience.

Overview of the Government Response

This document outlines the Government's formal response to the New Zealand Infrastructure Commission's National Infrastructure Plan (the Plan), which was publicly released on 17 February 2026.

New Zealand's future prosperity depends on high quality infrastructure. It is central to our quality of life, and key to supporting a productive and resilient economy. However, our infrastructure is not keeping up with day-to-day demands and pressures.

Without change, we won't be able to meet current needs let alone address the significant future challenges we face such as population and demographic change, our ageing infrastructure stock, and the increasing frequency and intensity of natural hazards and global shocks.

Getting infrastructure right will enable New Zealanders to enjoy infrastructure that is safe, reliable, accessible, and good value for money. It will enable the private sector to invest and create jobs because they are confident in the pipeline and are enabled to progress work by an efficient and fair consenting system. It will also enable our country to better minimise, adapt to, and recover from shocks – strengthening our physical and economic security.

When the Government came into office in 2023, we inherited a poor performing infrastructure system built up over successive governments.

Contrary to common perceptions, New Zealand spends a lot on infrastructure. Over the last 20 years, on average, New Zealand spent around 5.8% of GDP on infrastructure per year.¹ That puts us in the top 10% of OECD countries for infrastructure spend. Yet, we rank in the bottom 10% for the quality and efficiency of our investments. In other words, we spend a lot, but we don't get good value for our spend.

The cause of our problem is not isolated, it is spread across the investment lifecycle – from a lack of asset management and long-term plans to inefficient funding and financing, to poor project selection, to the absence of benefits realisation reviews. Issues are also spread across different players in the system – from decisionmakers, to system leaders, to infrastructure providers.

Ultimately, it's New Zealanders who see and experience the consequences of poor practice including project cost blowouts, project delays, comparatively expensive infrastructure, and assets that are wearing out or – at worst – failing. The Coalition Government's view is that change is needed.

¹ <https://tewaihang.govt.nz/our-work/research-insights/build-or-maintain>

To start fixing the infrastructure system, the Government committed to six measures:

1. Developing a 30-year National Infrastructure Plan
2. Establishing National Infrastructure Funding and Financing Limited
3. Improving Infrastructure Funding and Financing (new Treasury Funding and Financing Framework; updated Public Private Partnership Guidance; amending the Infrastructure Funding and Financing Act 2019; and replacing Development Contributions with Development Levies)
4. Improving the consenting framework (Resource Management Act reform)
5. Improving education and health infrastructure
6. Strengthening asset management.

All six measures are either implemented or are on track to be achieved by 2027/28. Over the past three years, we have also improved the quality and transparency of investment data by strengthening Quarterly Investment Reporting.

The Government commissioned the independent Infrastructure Commission to prepare a Plan that outlines New Zealand's infrastructure needs over the next 30 years, planned investments over the next 10 years, and recommendations on priority projects and reforms that can fill the gap between what we have and what we will need.

The Plan outlines some hard truths:

- The cost of addressing our existing infrastructure deficit outstrips our ability to pay for it, so we need to be smarter about where and how we invest.
- We spend a lot on infrastructure, but we don't always get good value.
- Our infrastructure stock is aging as assets built in the post-war investment boom of the 1950s to the 1990s are wearing out.
- We rank fourth to last for asset management in the OECD, and maintenance and renewal activities get routinely deferred in favour of other spend.
- Many central government agencies/entities do not have robust asset registers or long-term asset management and investment plans. This means many central government infrastructure providers do not properly understand what they own, what level of service is required, or how they will look after assets.
- Current assurance processes are fragmented and inconsistent, and do not provide Ministers with all the information needed to make good decisions.

To help address issues within the infrastructure system and external challenges New Zealand is facing, the Commission put forward 16 recommendations in the Plan that are grouped under four key themes: Planning what we can afford; looking after what we've got; prioritising the right projects; and making it easier to build better.

The Government has carefully considered each recommendation and has agreed to support all 16 recommendations, either in full or in principle (see Table 1).

To ensure that progress is made on these recommendations, the Treasury has been asked to lead, monitor, and report back on the implementation of the Government's response as a whole – with relevant agencies responsible for executing individual recommendations.

The Minister for Infrastructure will report back to Cabinet on the Government response to the Plan no later than the end of June 2027.

Table 1 – Summary of Government's response to the National Infrastructure Plan

Recommendation	Response	Responsible agencies
1. Needs-based capital allowances	Supported	The Treasury
2. Land transport funding and oversight	Supported	Ministry of Cities, Environment, Regions and Transport (MCERT)*; with Treasury support
Looking after what we've got		
3. Long-term investment planning	Supported	The Treasury
4. Predictable Government funding signals	Supported in principle	
5. Multi-year budgeting	Supported in principle	
6. Asset management performance reporting	Supported	
Prioritising the right projects		
7. System-wide assurance	Supported	The Treasury, and the Infrastructure Commission
8. Asset management assurance	Supported	
9. Investment readiness assurance	Supported	
10. Project information coordination	Supported	

Recommendation	Response	Responsible agencies
Making it easier to build better		
11. Stable resource management framework	Supported	MCERT**
12. Integrated spatial planning	Supported	
13. Optimised infrastructure use	Supported	
14. Accelerated electricity investment	Supported	Ministry of Business Innovation and Employment (MBIE)
15. Coordinated workforce development	Supported in principle	MBIE
16. Public sector project leadership	Supported	Public Service Commission (PSC); and the Infrastructure Commission

* From 1 July 2026, the Ministry of Transport will be merged into MCERT.

** From 1 July 2026, the Ministry for the Environment will be merged into MCERT.

In addition to the 16 recommendations, the Plan also identifies 10 Priorities for the Decade Ahead. It's encouraging to see that all 10 priorities reflect work underway by the Government. For example –

Priority 1 recommends lifting hospital investment to address the demands of an aging population. Over the last three Budgets, the Government has invested \$1.869 billion in new health capital investment. Health NZ has also completed its first long-term capital investment plan, which was endorsed by Cabinet on 10 March 2025. On 16 April 2025, Health NZ also published a national asset management strategy. The Government is strengthening health infrastructure now and laying the groundwork to meet future demand.

Priority 3 highlights the importance of time-of-use charging and fleetwide road user charges (RUC). On 11 November 2025, Parliament unanimously passed the Land Transport Management (Time of Use Charging) Amendment Bill. The Bill will come into force in November 2026. Auckland Council and the New Zealand Transport Agency (NZTA) have already started work to initiate a scheme for Auckland.

In July 2024, Cabinet agreed to move all light vehicles from fuel excise to the RUC system. Ahead of this, we are reforming legislation to allow the market to deliver innovative, user-friendly RUC retail services for drivers.

Priority 7 identifies the importance of cost-effective flood risk reduction infrastructure.

The Government has invested \$198 million in flood resilience projects through the Regional Infrastructure Fund. Budget 2026 also invested \$7.4 million for a New Zealand Flood Map to provide a robust picture of flood hazards across the country. Risk identification is a precondition for effective investment in flood resilience.

Priority 8 recommends committing to a durable resource management system.

The Planning Bill and Natural Environment Bill will replace the Resource Management Act with a more enabling and stable system.

The Plan was informed by a body of research papers, datasets, and processes – most notably the National Infrastructure Pipeline, Forward Guidance, and the Infrastructure Priorities Programme (IPP).² The Pipeline will continue to be updated quarterly, and the Forward Guidance is intended to be updated annually.

Overall, the Plan sets out a 30-year pathway for how New Zealand can improve the way it plans, selects, funds and finances, delivers, and looks after infrastructure.

This Response sets out the Government's actions to progress the Plan, including information on responsible agencies, timelines, and report back dates.

Turning the Plan into action will ensure our infrastructure meets the needs of New Zealand and its people – supporting our way of life, keeping us resilient to hazards, lifting economic growth and productivity, and improving living standards for all.

Responding to the 16 recommendations

The Plan identifies four themes and 16 recommendations that will make a material difference to how we plan, select, fund, finance, deliver, and look after infrastructure in New Zealand.

This document includes the Government's position on each of the 16 recommendations, broken down by the four themes in the Plan.

How to interpret the responses

The Government's position on each recommendation is categorised into one of two categories:

- **Supported:** The Government will address the recommendation in future, has already agreed to address it, or is currently addressing the recommendation through existing policies or reforms.
- **Supported in-principle:** The Government supports the outcome that the recommendation is intended to achieve but has chosen alternative methods of implementation compared to those set out in the Plan.

² <https://tewaihang.govt.nz/national-infrastructure-plan/supporting-information>

Responding to the 10 priorities

The Plan also recommends the Government focus on 10 priorities for the decade ahead.

The Government has work programmes underway in all areas identified by the 10 priorities. Throughout this response, work underway has been noted under the relevant recommendations.

Ensuring progress on the Government response

To ensure that progress is made on these recommendations, the Treasury has been asked to lead, monitor, and report back on the implementation of the Government's response as a whole – with relevant agencies responsible for executing individual recommendations.

The Minister for Infrastructure will report back to Cabinet on the Government response to the Plan no later than the end of June 2027.

The Government Response

Theme One: Planning what we can afford

RECOMMENDATION 1 Needs-based capital allowances	RECOMMENDATION 2 Land transport funding and oversight
Supported	Supported

Recommendation 1: Needs-based capital allowances

Ensure fiscal strategy and capital allowances are informed by the Commission’s independent assessment of long-term needs and agencies’ infrastructure asset management and investment plans.

Government Response: **SUPPORTED**

The Government sets its fiscal strategy and capital allowances for Crown-funded investments based on advice from the Treasury to the Minister of Finance. The Treasury has worked with the Infrastructure Commission to analyse how the Forward Guidance compares with forecast and projected capital spending and will use the Forward Guidance as a regular input to the development of advice on medium-term fiscal projections. The Treasury has also used agency’s investment intentions as an input to recent advice on future capital allowances, and this will inform regular advice to the Minister of Finance on medium-term fiscal projections.

Responsible agencies	Next steps and timelines
The Treasury	The Treasury will inform Cabinet how the Commission’s <i>Forward Guidance</i> and agencies’ infrastructure plans were considered when setting the fiscal strategy and capital allowances, as part of the relevant Budget 2027 Policy paper to Cabinet. There are a range of inputs/factors that inform this advice such as debt targets, operating balance targets, and economic conditions at the time. The fiscal strategy and capital allowances are reflected in Budget Policy Statements, which are required to be tabled in Parliament by no later than 31 March of each year, and Fiscal Strategy Reports, which are tabled on Budget day.

Priorities related to Recommendation 1

Priority 1: Lift hospital investment for an ageing population

“Increase investment as a share of GDP to address ageing population demands and maintenance backlogs through clear long-term planning.”

The Government recognises the significant and growing pressure on hospital infrastructure. The Commission’s projection that health infrastructure investment will need to roughly double as a share of GDP over the next 30 years is consistent with the Government’s own assessment of the challenge.

In Budget 2024, the Government committed \$103.1 million to health infrastructure, and in Budget 2025 the Government committed \$1.1 billion of health capital funding, including for hospital redevelopment, of Nelson Hospital, the Wellington Hospital Emergency Department, and Auckland hospital upgrades.

Budget 2026 delivered more than \$680 million of capital spending for the health system, including investment to strengthen hospital infrastructure, expand capacity, and ensure patients and staff have access to modern, resilient facilities.

The Budget 2026 infrastructure package provided funding for:

- A new 158 bed ward tower at Whangārei Hospital.
- The design and some enabling works for the redevelopments at Tauranga, Hawke’s Bay, and Palmerston North regional hospitals.
- Acquisition of land for a new hospital south of Auckland.
- Infrastructure upgrades at Auckland’s Mason Clinic.

Budget 2026 also funded earlier commitments, including the new Dunedin Hospital inpatient building and establishment costs for the new medical school at the University of Waikato.

The Government is also investing in community-based alternatives to reduce pressure on hospital beds. Budget 2025 established the national Urgent Care and After-Hours Framework; with a target that 98 percent of New Zealanders live within a one-hour drive of in-person urgent care. New and expanded services are already operating in Counties Manukau, Dunedin, and Lower Hutt, with further rollouts planned.

The Health Infrastructure Plan was released alongside Budget 2025, setting out a national, long-term approach to renewing and expanding New Zealand’s public health facilities. This remains an area of priority for the Government.

Priority 2: Complete catch-up on renewals in the water sector and restore affordability

“Sector affordability can be restored through national guidance on demand management, resourcing the economic regulator and providing assurance over investment proposals.”

The Government has undertaken substantial reform of the water services system. The Local Government (Water Services) Act 2025 passed in August 2025, enabling councils to establish new water service delivery models.

In November 2024, Cabinet approved enduring settings for water services delivery, including economic regulation by the Commerce Commission with mandatory information disclosure and revenue ring-fencing. The Commerce Commission will have a range of regulatory tools to promote value for money and ensure investments are made where they are needed most.

In Auckland, the Watercare Charter effective from 2025 to 2028 has been put in place to keep water services affordable while enabling record infrastructure investment averaging \$1.3 billion annually. The Commerce Commission will begin full economic regulation of all water service providers from 2027 and Watercare will transfer into a new price-quality path from 2028.

The first standalone water services entity, Selwyn Water, has been established under these new arrangements. The Government expects further entities to follow as councils implement their Water Services Delivery Plans.

Recommendation 2: Land transport funding and oversight

Reform the land transport funding system to ensure financial sustainability and enhance economic and social outcomes by aligning investment expectations with available revenue and strengthening efficiency and accountability in delivery.

Government Response: SUPPORTED

The Government agrees with the problems the Commission has identified with investment, pricing and delivery settings in land transport.

The Government also agrees that system reform is necessary and has commissioned the Ministry of Transport – which will become part of the Ministry for Cities, Environment, Regions and Transport (MCERT) from 1 July 2026 – to develop proposals to be publicly consulted on by June 2028, as recommended by the Plan.

Responsible agencies	Next steps and timelines
Ministry of Transport/ MCERT, with support from the Treasury	MCERT will develop proposals for reform of the land transport funding system, with support from Treasury, which will be publicly consulted on by June 2028.

Priorities related to Recommendation 2

Priority 3: Implement time-of-use charging and fleetwide road user charges

“This is essential for improving the efficiency of our urban road networks, particularly in congested cities.”

The Government agrees that pricing reform is essential for the long-term sustainability of transport funding. The Government is progressing the transition from petrol tax to road user charges for all 3.5 million light vehicles. Legislation before the House is expected to pass in 2026 and take effect in 2027. It will modernise the Road User Charges licensing system ahead of the transition of light petrol vehicles, allowing market providers to offer new and innovative payment options. In June 2027 Cabinet will consider next steps on transitioning the full vehicle fleet to road user charges.

Electric vehicles have been paying road user charges since April 2024, removing the previous exemption and ensuring all road users contribute to the network.

Work has also been progressed on time-of-use charging. The Land Transport (Time of Use Charging) Bill passed unanimously in November 2025; the legislation enables NZTA to partner with local government to design and implement schemes, with revenue reinvested in the transport system in the region where it is raised.

Priority 4: Prioritise and sequence major land transport projects

“Restore affordability by timing major road and rapid transit investments based on demonstrated demand and cost benchmarking, while using low-cost and targeted improvements first to lift network performance.”

The Government agrees with the Commission that maintenance and renewals should be prioritised but also notes the need to prioritise investment to operate the system (e.g. to deliver public transport services). This should be followed by interventions to optimise the existing system (e.g. to manage demand), and then cost-effective, high value improvements to address gaps in system performance.

Where significant investment is required, it should be prioritised and sequenced through the National Land Transport Programme and Rail Network Investment Programme in line with direction from the Government Policy Statement on Land Transport.

Theme Two: Looking after what we’ve got

RECOMMENDATION 3 Long-term investment planning	RECOMMENDATION 6 Asset management performance reporting	RECOMMENDATION 4 Predictable government funding signals	RECOMMENDATION 5 Multi-year budgeting
Supported	Supported	Supported in principle	Supported in principle

Recommendation 3: Long-term investment planning Introduce legislative requirements for capital-intensive central government agencies to prepare and publish long-term investment and asset management plans aligned with the Government’s fiscal strategy.
Recommendation 6: Asset management performance reporting Require, through legislation, capital-intensive central government agencies to report on asset information and asset management performance, including progress against their investment and asset management plans.

Government Response: **SUPPORTED**

The Government will introduce legislative requirements for departments and Crown entities to prepare and publish long-term investment and asset management plans and to report on asset management performance in the Public Finance Act 1989 and the Crown Entities Act 2004. The Treasury will complete the policy work to support these requirements by the end of 2026, with the development of legislation to follow in 2027.

Responsible agencies	Next steps and timelines
The Treasury	The Treasury will complete policy work for asset management and investment planning requirements for central government agencies by October 2026 and reflect new requirements in Cabinet circular CO (23) 9 by June 2027. Legislation will be developed in 2027. Progress will be reported to Cabinet in September 2026, and as part of the Minister for Infrastructure’s report back to Cabinet in June 2027.

Priorities related to Recommendations 3 and 6

Priority 6: Prioritise adequate maintenance and renewals

“Central government agencies must prioritise adequate funding to prevent asset deterioration and costly reactive fixes.”

The Commission’s finding that around 60 cents in every future dollar of infrastructure spending will go to renewals and maintenance, rather than new projects, is a significant finding that the Government takes seriously.

This underlines the importance of the Asset Management Work Programme, which is the most substantial reform of public sector asset management in recent decades.

The Minister for Infrastructure has confirmed that the Investment Management System is being strengthened, long-term investment plans are beginning to be developed, and Ministers are demanding higher-quality information from agencies.

Under this Government, 66 cents in every rail network investment dollar is currently allocated to maintenance and renewals.

Priority 5: Manage assets on the downside

“Actively plan for declining demand scenarios arising from changing demographics, technology and climate change, and explore asset recycling opportunities within portfolios to maintain value and affordability.”

The Government recognises that not all parts of New Zealand will experience population growth, and that infrastructure planning must account for this reality. The Government’s Asset Management Work Programme is driving agencies to develop long-term investment plans that include multiple demand scenarios, including scenarios of flat or declining populations.

Recommendation 4: Predictable government funding signals

Extend the horizon over which Governments plan their infrastructure funding intentions and communicate these intentions to agencies and the public.

Recommendation 5: Multi-year budgeting

Adopt multi-year budgeting arrangements that leverage and reinforce high-quality infrastructure planning, delivery and asset management practices.

Government Response: SUPPORTED IN PRINCIPLE

The existing capital budgeting system already has aspects of multi-year budgeting.

While appropriations are approved annually, funding is usually agreed for multiple years, and there are multi-year appropriations available to support infrastructure spending over a period of up to five years.

Delegated decision-making by agency chief executives also allows for multi-year funding, through existing use of agency balance sheets and depreciation.

The Government is also taking steps to extend the horizon over which infrastructure planning is determined, which informs funding decisions. This includes through the development and publication of multi-year infrastructure plans for major areas of infrastructure spending including:

- The Health Infrastructure Plan, released in April 2025, identifies a pipeline of more than \$20 billion of investment over the next 10 years.
- The Long-Term Investment Plan for School Property outlines the 10-year priority pipeline for the maintenance and growth of the education portfolio.
- The Defence Capability Plan (DCP) outlines indicative investments over a 15-year horizon, to ensure New Zealand can respond to the changing global security environment.

Responsible agencies	Next steps and timelines
The Treasury	Steps taken to extend the horizon for infrastructure planning will be included as part of the Minister for Infrastructure’s June 2027 report back to Cabinet.

Theme Three: Prioritising the right projects

RECOMMENDATION 7 System-wide assurance	RECOMMENDATION 8 Asset management assurance	RECOMMENDATION 9 Investment readiness assurance	RECOMMENDATION 10 Project information coordination
Supported	Supported	Supported	Supported

Recommendation 7: System-wide assurance

Establish a consolidated assurance function that provides Ministers with a system-wide view of infrastructure planning, delivery, and asset management performance and risk.

Recommendation 8: Asset management assurance

Establish an assurance function for capital-intensive central government agencies covering asset management and investment planning activities.

Recommendation 9: Investment readiness assurance

Strengthen investment assurance by applying a transparent, independent readiness assessment to major government-funded investment proposals.

Government Response: **SUPPORTED**

The Government supports these recommendations.

In April 2026, the Government announced five key changes to the Investment Management System to strengthen investor assurance:

1. **Better use of specialist expertise:** Responsibility for external assurance on central government-funded infrastructure projects will shift from the Treasury to the Infrastructure Commission, removing duplication of assurance products and ensuring the Commission's expertise is used to its full advantage.

This means the Commission will look over major infrastructure proposals long before decisions are made, giving Ministers independent, specialist advice on whether the investment meets a need, represents value for money, and is deliverable. High-risk projects/proposals from Crown Entities (e.g. New Zealand Transport Agency, and Kāinga Ora) will also be subject to this assurance. High risk proposals from other arm's length entities, such as State Owned Enterprises will be subject to this assurance where Crown funding is required.

2. **Stronger investor-focused assurance:** External investment assurance will be focused on what Ministers need to make good, well-informed decisions on behalf of New Zealanders. This means simplifying the assurance space by consolidating existing products like the Infrastructure Commission’s Infrastructure Priorities Programme, and Treasury’s Gateway process – taking the best elements of both. The new assurance product will be called Investment Decision Assurance (IDA).
3. **Clearer advice to Ministers:** For all Business Cases seeking Cabinet endorsement, Treasury will introduce a standardised two-page ‘Fitness Assessment’ for Cabinet investment decisions. This assessment will also play a strategic role by putting the proposal in context of the entity’s past performance and the fiscal landscape. This action has already been implemented.
4. **New assurance for asset management and long-term investment plans:** A dedicated assurance function will be established for capital-intensive agencies covering asset management and investment planning. The Treasury will lead on policy, and the Commission will be responsible for providing infrastructure assurance for these plans.
5. **Greater Ministerial oversight of major projects:** The Infrastructure and Investment Ministers Group will review High-Profile High-Risk investments and long-term investment plans before they go to Cabinet, and monitor delivery after decisions are made. This action has already been implemented.

These changes implement recommendations 7, 8, and 9 above. Strengthening investor assurance will help the Government allocate its constrained resources to projects and activities that, taken together, deliver the greatest benefit to New Zealanders. Over time, better information and decisions will lead to higher-quality infrastructure, and services that are more reliable, resilient, growth-enabling, and sufficient to meet Kiwis’ needs.

Responsible agencies	Next steps and timelines
The Treasury, and the Infrastructure Commission	The Treasury is currently developing policy for the Investment Decision Assurance process, which Cabinet will be asked to endorse in September 2026. The Commission will take on responsibility for providing Investment Decision Assurance for infrastructure projects and programmes from 1 November 2026.* By 31 October 2026, Treasury will complete policy work for asset management and investment planning requirements for central government agencies. The Commission will take on responsibility for providing infrastructure assurance on these plans, starting with capital intensive agencies, from 1 July 2027. The Minister for Infrastructure’s June 2027 report back to Cabinet will provide an update on progress.

*Excluding Defence infrastructure until the Commission acquires appropriate Security Clearances.

Recommendation 10: Project information coordination

Require all infrastructure providers to maintain up-to-date data in the National Infrastructure Pipeline and strengthen arrangements for improving data quality over time.

Government Response: **SUPPORTED**

The Government values the comprehensive information about current and future infrastructure projects provided by the National Infrastructure Pipeline.

In the short term, using existing mechanisms for data collection across government, we will require all central government agencies to participate in and provide complete and timely information to the National Infrastructure Pipeline. We will also give the ability for the Infrastructure Commission to set Pipeline information standards that would apply to central government agencies. These requirements will be progressed through the refresh of Cabinet Office circular CO (23) 9: Investment Management and Asset Performance in Departments and Other Entities. The Treasury as the lead agency for the CO (23) 9 refresh, will work with the Commission to develop these changes.

As part of digitising government and the public service, we also expect the newly established Government Digital Delivery Agency (GDDA) to help lift agencies' digital capability, including consistent collection and reporting of investment data.

We will also progress more detailed analysis. The Infrastructure Commission (in consultation with the Treasury and the GDDA) will undertake further work to develop and assess detailed options for strengthening the Pipeline mandate through legislation, including a framework for setting requirements for infrastructure providers to create, collate, store and supply information. The Commission will report back to the Minister for Infrastructure on this analysis by no later than June 2027. The Government will consider options where benefits outweigh costs, and the Treasury will lead advice to Ministers on legislative implementation (if any).

Responsible agencies*	Next steps and timelines
Infrastructure Commission, and the Treasury	New requirements will be included in the refresh of the Cabinet circular CO (23) 9 by June 2027, which will include improvements beyond project information coordination. The Infrastructure Commission will develop detailed option analysis for strengthening the Pipeline mandate through legislation by no later than June 2027.

Priorities related to Recommendation 10

Priority 7: Identify cost-effective flood risk infrastructure

“Climate change will intensify flooding and impact infrastructure, requiring effective community risk management approaches.”

Flood resilience is a priority for the Government. In two tranches of investments, the Government has partnered with local government to co-invest \$197.9 million of Regional Infrastructure Fund funding towards 74 projects across regional New Zealand. As of March 2026, 44 projects have commenced physical works with 11 projects now complete.

The Government has introduced a new National Policy Statement for Natural Hazards, gazetted in December 2025, which sets a consistent, risk-based approach for how councils manage natural hazard risks when planning new developments. This applies to seven hazard types and requires councils to identify and map hazards using best available information.

The National Adaptation Framework, published in October 2025, highlights our focus on ensuring councils weigh up the costs and benefits of adaptation options for their communities, and to using the Funding and Financing Framework to guide decisions on investment that protects Crown assets.

The Government is also taking forward work to improve access to nationally consistent flood and climate risk information, so investment decisions are based on robust, shared evidence.

Theme Four: Making it easier to build better

RECOMMENDATION 11 Stable resource management framework	RECOMMENDATION 12 Integrated spatial planning	RECOMMENDATION 13 Optimised infrastructure use	RECOMMENDATION 14 Accelerated electricity investment
Supported	Supported	Supported	Supported
RECOMMENDATION 15 Coordinated workforce development	RECOMMENDATION 16 Public sector project leadership		
Supported in principle	Supported		

Recommendation 11: Stable resource management framework

Commit to maintaining a stable legislative framework for resource management that enables infrastructure development while managing environmental impacts.

Recommendation 12: Integrated spatial planning

Ensure spatial planning within the resource management system aligns infrastructure investment with land-use planning and regulation.

Government Response: **SUPPORTED**

The Government supports recommendations 11 and 12 and will soon replace the Resource Management Act 1991 with a Planning Act and a Natural Environment Act. Bills before the House are anticipated to be enacted before the 2026 General Election.

The Planning Bill includes a goal for infrastructure, elevating its priority in the new planning system. Concurrently, scoping of national instruments is underway to support a stable legislative framework.

The Government is committed to a successful implementation transition to the new planning system. Budget 2026 invests \$294 million over four years to support the rollout of the new system including a national flood map, digital foundations (i.e. nationally consistent data standards, shared digital services, and a centrally managed platform for planning, consenting and monitoring), and building institutional capability.

The Government has also been engaging with opposition parties in Parliament to build consensus on the new planning system, where possible.

A core feature of the new planning system is regional spatial planning. Done right, spatial planning can unlock, co-ordinate and improve infrastructure delivery, housing and business development, as well as environmental protection and enhancement.

Spatial planning will be carried out regionally with central government leadership and involvement. Spatial plans will both inform and be informed by national infrastructure priorities and should be guided by an understanding of the costs of delivery and demand pressures.

Funding and investment decisions under the Land Transport Management Act 2003 and the Local Government Act 2002 will also be aligned in regional spatial plans, which will help coordinate across different legislation.

While wider Resource Management reforms have been underway, the Government also introduced one new piece of National Direction under the RMA and amended two others to boost the delivery of infrastructure and renewables:

- A National Policy Statement for Infrastructure (new)
- The National Policy Statement for Renewable Electricity Generation (amended)
- The National Policy Statement for Electricity Networks (amended)

These Policy Statements have been designed to integrate into the new system.

The new National Policy Statement for Infrastructure, in particular, introduces a set of policies designed to support the development, operation, and upgrading of infrastructure throughout New Zealand. It puts into force the crucial role infrastructure plays in the nation's economy, resilience, and climate adaptation, helping to ensure that these assets are protected and effectively managed for the long term.

Responsible agencies	Next steps and timelines
Ministry for the Environment/ MCERT	The Natural Environment Bill and Planning Bill are currently before the Environment Committee and are due to report back to the House of Representatives by 26 June 2026. The Government has publicly committed to passing the Bills in this parliamentary term (Q3 2026). Under the Bills as introduced to Parliament, the first core suite of national instruments, including National Policy Direction, would be issued 9 months after the Bills receive Royal Assent (Q2/Q3 2027). Some transitional national rules will be included too. Timing will be governed by the final form of the Bills passed by Parliament, including the Environment Committee's recommendations. Progress will be included as part of the Minister for Infrastructure's June 2027 report back to Cabinet.

Priorities related to Recommendations 11 and 12

Priority 8: Commit to a durable resource management framework

“New Zealand needs a durable legislative framework with spatial planning and national standards that can evolve through incremental amendments.”

The Government is delivering comprehensive reform of the resource management system. In December 2025, the Government introduced a Planning Bill and the Natural Environment Bill to Parliament, which will replace the Resource Management Act 1991 with two new statutes designed to reduce barriers to growth. The Government aims to pass both Bills into law in 2026.

Alongside these Bills, the Government has delivered the largest package of RMA national direction changes in New Zealand’s history. Ten new or amended instruments came into force on 15 January 2026, including the first-ever National Policy Statement for Infrastructure, which requires resource management decision-makers to recognise and provide for the benefits of infrastructure. Even more infrastructure-related national direction instruments will be issued in 2026.

The Government has taken a phased approach to reform to ensure key wins from the reform can be realised under the current system. The Resource Management (Consenting and Other System Changes) Amendment Act passed in mid-2025 and delivered immediate improvements – including streamlined consenting for renewable energy – before the longer-term replacement legislation comes into force.

The Fast-track Approvals Act, passed in November 2024 with 149 listed projects, provides an alternative consenting pathway for projects of national and regional significance.

Recommendation 13: Optimised infrastructure use

Set land-use policies to enable maximum efficient use of existing and new infrastructure.

Government Response: **SUPPORTED**

The Government supports Recommendation 13, as enabling efficient land use maximises the utilisation of both new and existing infrastructure, spreading costs across a greater number of users and improving value for money. Well-designed land-use policy can also reduce the need for new infrastructure investment by making better use of existing capacity, easing fiscal pressure for both central and local governments.

Liberalising land use, particularly in areas of high demand (often where existing infrastructure exists) unlocks benefits far beyond efficient use of infrastructure including greater housing affordability, economic growth, increased productivity, and more development – all while moderating carbon emissions compared to alternative growth scenarios.

Some progress has already been made towards this recommendation such as through Pillar One of our Going for Housing Growth programme and landing legislative guardrails for Auckland Council's Plan Change 120.³

However, more work is required to respond to this recommendation within the new planning system and through the wider work on infrastructure, including planning, investment, regulatory, and pricing levers.

Responsible agencies	Next steps and timelines
Ministry for the Environment/ MCERT	Pillar One of Going for Housing Growth will be delivered through the new planning system. Key milestones include: • Statutory consultation and finalisation of National Policy Direction – Q2/Q3 2027 • National standards issued in stages – Q4 2027/Q1/Q2 2028 • Regional spatial plans notified and finalised – 2027/2028 • Land use and natural environment plans notified – late 2028/early 2029 Progress will be included as part of the Minister for Infrastructure's June 2027 report back to Cabinet.

³ The Resource Management (Auckland Housing) Amendment Act sets the legislative guardrails for Auckland Council's Plan Change 120 to the Auckland Unitary Plan

Priorities related to Recommendation 13

Priority 9: Commit to upzoning around key transport corridors

“This will lead to more efficient use of water and other networks and maximise the value of transport infrastructure investments.”

The Government’s Going for Housing Growth programme directly addresses the Commission’s recommendation. Pillar One of Going for Housing Growth was consulted on in mid-2025, proposing to free up land for development and remove unnecessary planning barriers, including by strengthening requirements for councils to enable intensification around rapid transit stops and frequent transport corridors.

These proposals will be implemented in the new planning system. Pillar One is complemented by Pillar Two (improving infrastructure funding and financing), and Pillar Three (providing incentives for communities and councils to support growth).

The Planning Bill also provides for nationally standardised zoning and 30-year regional spatial plans that will integrate infrastructure investment and land-use planning. This aligns with the Commission’s advice to use spatial planning to maximise the benefits of existing and planned infrastructure.

Recommendation 14: Accelerated electricity investment

Establish clear, consistent, and coordinated government policies to accelerate electricity infrastructure investment that supports economic growth and emissions reduction.

Government Response: **SUPPORTED**

The Government is already addressing this recommendation through existing work programmes. This includes:

- Supercharging renewable energy through ambitious **resource management changes** and the **Fast-track Approvals Act 2024 process**, which is removing barriers to accelerate the delivery of renewable energy projects.
- Development of a range of measures to support security of energy supply, such as work on liquefied natural gas (LNG), and consultation on a proposed **winter energy reliability obligation** that could require the large gentailers to ensure sufficient fuel and generation capacity, ahead of forecast dry years.
- **Stronger powers for the Electricity Authority** to enforce electricity market rules, including stronger penalties for breaches of the Electricity Industry Participation Code.
- The **Gas Transition Loan Guarantee Scheme** announced as part of Budget 2026, which is expected to make up to \$1.2 billion of bank loans available to businesses looking to reduce their reliance on gas.
- Enhanced **information disclosure under the Gas Act 1992**, to improve transparency about supply and demand for domestic gas.

Responsible agencies	Next steps and timelines
MBIE	Resource management/Fast-track Approvals Act – see Recommendation 11. A proposed reliability obligation to manage dry-year risk – public consultation runs to 21 July 2026. Stronger powers for the Electricity Authority – implementation during 2026 and 2027. Gas Transition Loan Guarantee Scheme (administered by the Treasury) – launch in July or August 2026 and available for three years. Consultation on regulations for gas transparency requirements – as soon as possible. Regulations could be in place by end Q1 2027. Progress will be included as part of the Minister for Infrastructure’s June 2027 report back to Cabinet.

Priorities related to Recommendation 14

Priority 10: Take a predictable approach to electrify the economy

“Achieving electrification and net zero carbon targets requires predictable market rules and policy settings rather than non-commercial government investment in electricity supply.”

The Government agrees that predictable policy settings are essential to unlocking private investment in electricity infrastructure. The Government’s Energy Package, announced in October 2025, addresses security of supply through a range of measures including launching a procurement process for an LNG import facility, signalling Crown capital support for generation investments by the mixed-ownership model companies, and committing \$200 million for co-investment in gas fields.

The Second Emissions Reduction Plan, released in October 2024, identifies Electrify NZ as a key policy for emissions reduction over the next five years.

Recommendation 15: Coordinated workforce development

Align workforce development planning and policy with infrastructure investment and asset management plans and the Commission’s independent view of long-term needs.

Government Response: SUPPORTED IN PRINCIPLE

The Government supports the intent of this recommendation, but further consideration is required to identify the best way forward. Data and insights to identify current and future skills needs are vital for evidence-informed workforce development planning, policy, and investment. Infrastructure investment and asset management plans, and the Commission’s independent view of long-term needs can all assist in forecasting future workforce demand.

Industry Skills Boards, for example, have a strategic workforce analysis and planning statutory function that informs their investment advice to the Tertiary Education Commission. The Ministry for Social Development already uses National Infrastructure Pipeline data to inform its strategic planning. MBIE is investigating the development of occupation level employment forecasts that could directly support strategic planning across immigration, education, regional development, and workforce policy.

Workforce projections need to be as accurate and granular as possible to usefully inform policy and planning. The Plan recommends that all infrastructure providers be required to maintain up-to-date data in the National Infrastructure Pipeline and to strengthen arrangements for improving data quality over time. This can improve the accuracy of projections for longer term education and immigration policy settings. It could also inform learners’ choices about careers and training. However, this will still need to be supplemented with more immediate data on actual demand for operational delivery decisions, such as the placement of MSD Jobseekers.

The Government will consider how to implement this recommendation by directing MBIE to work with the Commission. In practice, this will mean translating investment and asset management plans and the Commission’s Forward Guidance into granular occupation data to inform workforce development planning and policy. MBIE will also work with the Commission to identify how this workforce data will be integrated into the workforce planning and policy process in a way that aligns with work already underway.

Responsible agencies	Next steps and timelines
MBIE	MBIE, working with the Commission and other relevant agencies, will progress these actions within the next 12 months. Progress will be included as part of the Minister for Infrastructure’s June 2027 report back to Cabinet.

Recommendation 16: Public sector project leadership

Strengthen public sector project leadership through a consistent, system-wide approach to appointing, developing, and supporting infrastructure leaders.

Government Response: SUPPORTED

The Government supports this recommendation. Public infrastructure projects are often complex and expensive, and their success depends heavily on the capability of the leaders responsible for governing and delivering them. Strong leadership leads to clearer decisions, better risk management, and better value for taxpayers.

The Public Service Commission (PSC) and the Infrastructure Commission will jointly lead the initial response to this recommendation, such as:

- developing a professional standard for public sector leadership and promoting its use,
- building a voluntary cross-agency directory of Senior Responsible Owners (SROs) and Project Directors, hosted by the Infrastructure Commission, and
- exploring options for public sector infrastructure projects to include funding for capability development.

PSC and the Infrastructure Commission will progress these actions within the next twelve months. This work will be undertaken within existing funding, and without changing the basic structure of responsibilities for public sector infrastructure projects.

There is also potential to explore longer term actions to improve public sector project leadership (e.g. introducing independent capability verification for key leadership roles, establishing a nationally recognised professional benchmark or accreditation for critical infrastructure leadership roles, actively assigning experienced leaders to the highest-risk and most complex projects, and/or facilitating formal secondments and placements across agencies etc.).

In future, a suitable system lead should be identified to consider this longer-term work.

Responsible agencies	Next steps and timelines
PSC, and the Infrastructure Commission	PSC and the Infrastructure Commission will progress these actions within the next twelve months. Progress will be included as part of the Minister for Infrastructure’s June 2027 report back to Cabinet.